Audio file

Ideas and Opportunities- Part 1.m4a

Transcript

Welcome to this first video in the series Entrepreneurship in Action, for the competence area, ideas and opportunities. With this video, we'll treat three topics. First, we talk about opportunities and how they are different from ideas. Next, we offer a number of definitions defining both concepts. And then we end with a model that explains how to move from an idea to an opportunity. The central question we will be addressing throughout this video is the following. What are opportunities? Now why is it so important to talk about opportunities? Well, opportunities are a core concept within entrepreneurship. Ideas are plentiful, it's very easy to come up with an idea, but what is important is to translate that idea into an opportunity. It's about creating opportunities and also finding ways to exploit those opportunities. So there's indeed an important difference between the two concepts. Let's have a look at the definition of venture ID. A venture ID is a preliminary and mostly incomplete mental representation of the concept for a potential future venture. IDs can come from many sources. The ID can come from the identification of an unmet customer need. Think for example for the need for longer battery life for your smartphones. IDs can also emerge from a particular customer segment. This often occurs with entrepreneurs or individuals that have a profound experience or affinity with a particular customer segment, let's say senior people or disabled people, and that helps you to come up with an idea. And then the final source for IDs is a resource or a capability. That's something we often see here at our own university where we start with a technical invention. Now we have an understanding of what a venture ID is. Let's move to the next definition, venture opportunities. A venture opportunity can be defined as a favorable combination of endogenously shaped and exogenously given circumstances that make it both desirable and feasible for the entrepreneur to exploit the venture concept and to introduce a potentially value-adding offering into the marketplace. Now that's quite a mouthful. Let's unpack this definition together. So first of all, it's important to understand that the difference between idea and opportunity is basically because of the evolution of time. Opportunities do not emerge from a single inside, but instead requires A continuous development, refinement from the idea into an opportunity. As an entrepreneur, you take action to further shape your idea. Either you do some market research, you go talking to potential customers, you do a bit of competitive analysis, and that helps you to further shape your idea until it becomes an opportunity. So that's the endogenous part of the definition, the actions you do yourself as an entrepreneur. But of course, an opportunity also exists in the real world. And that refers to the exogenous factors. The exogenous

factors are basically all factors that we cope with in our environment. It has to do with the customer needs, technology trends, regulations. All those things have an impact on the feasibility and the desirability of our ID. And that brings us to the second part of the definition, whether an ID is desirable and feasible for you as an entrepreneur to pursue. If you have developed your idea into something that is desirable from a customer perspective, but also considering other communities of inquiry, such as social communities, governmental perspective, the society as a whole, then you can arrive at an idea that's also desirable. But of course it also has to be feasible to make it a success. And when you combine those two elements together, then you have moved from an idea to an opportunity. Now let's illustrate this in practice. Here at our university we have a lot of researchers that develop important technological knowledge. And that technology can be the starting point for a new venture. Here we see the example of a researcher that developed a new type of redox flow batteries. He developed a new chemical compound that replaced the typical toxic metals that are used in those type of batteries. So basically it's a technology that allows to make batteries, redox flow batteries in particular, more sustainable, less toxic. But during the research, basically all you develop is an ID. That's the starting point. To make it into an opportunity, you need to evaluate the desirability of the ID. Is there a market for it? Would customers be willing to pay for it? and the feasibility. So how can I produce this battery not only in a lab environment but also at large scale? Often the biggest challenge is the identification of an attractive market opportunity. One potential market opportunity could be, for example, to target transportation companies that have an electric fleet and in order to charge their vehicles with electricity that is generated by their own company, they can rely on energy storage solutions such as a redox flow battery. So then we have moved from an ID to an opportunity. To wrap up with this video, I wanted to introduce you to opportunities and how they are different from IDs. An ID is the starting point. It's a single insight, but often not much more than that. And as an entrepreneur, you take steps to evaluate both the desirability and feasibility until you eventually come up with an opportunity. That's it for this video. If you want to hear more about opportunity creation and evaluation, please watch our next videos. Thanks for watching.